

High oil prices to persist despite Hormuz progress

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With Middle East output nearly back to prewar levels, persistent risks of disruption and further escalation will keep crude and product prices high in 2026, with Brent trading in the \$90-\$110 per barrel range.

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The US-assisted escort system will probably succeed in keeping regional volumes above 12 million barrels per day (bpd) despite ongoing attacks by Iran and its regional allies.

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Middle distillate fuel markets will remain very tight until at least November amid ongoing disruptions and export restrictions.

Crude and product prices will likely remain high despite Middle East supply increase. Crude and fuel prices will see some near-term downward pressure thanks to improving supply from the Middle East and the G7's coordinated stock release (see: European diesel release may be last off-ramp to avoid US export curb , 1 October 2026). However, there is a significant risk of re-escalation both by Iran and the US, which could quickly lead to renewed price spikes. Beyond that possibility, further disruptions to regional flows from attacks on Saudi oil infrastructure and ongoing Iranian attempts to contest the Strait of Hormuz will keep prices elevated.

Refined product inventories continue to drop, especially in the middle distillate space (which includes diesel, jet fuel, and heating oil). Ongoing disruptions to Russia's refineries, 45% of which have been hit by Ukrainian attacks, compound the problems just as the Northern Hemisphere heads into the high-demand winter heating season. Some spare refining capacity might become available over the coming month, though this will unlikely be enough to fully ease the tight conditions this winter, barring a credible de-escalation in the Middle East.

These factors will keep Brent in its current per barrel range of \$90-\$110 through 2026.

Higher Middle East crude flows will probably continue. By late September, regional flows out of the Middle East via ships and pipelines reached 16-17 million bpd, based on a weekly average of data from the ship tracking service Kpler. The region is now nearly back to prewar export levels (excluding Iran, which no longer exports due to the US blockade).

Iranian shipping attacks have intensified, with at least ten confirmed strikes on ships in the last two weeks. Despite this, US-assisted transits are likely to continue, with regional output remaining above 12 million bpd between now and the end of 2026.

Global oil shortages have steadily shifted from crude to products. While crude flows from the Middle East have improved, refined product flows from the Gulf remain subdued because of extensive damage to refineries.

Middle distillates are the tightest of all fuels, as several disruptions have hit this sector. The Middle East disruptions come on top of damage to Russian refineries, which has prompted Moscow to suspend diesel exports. China's recent suspension of refined fuel exports to protect domestic inventories creates additional tightness in supply.

Supply conditions may improve modestly, but escalation risks will keep prices elevated. Fuel supply may ease in November, as there is some spare refining capacity ramping up, including in Asia, Europe, and North America. A number of US and EU refineries are currently down for maintenance but expected to resume production soon. Several refineries are also going above their normal operating capacity to meet demand (though this increases the risk of unplanned outages). Given relatively healthy crude supplies, middle distillate flows should increase next month once the crude is delivered and processed.

However, there is also a risk of renewed escalation in the Middle East by November. The risk of more military action in the Middle East rises in November, once the US is past the midterm elections (the US is already moving more troops and naval assets into the region). There is currently little scope for de-escalation in either the US-Iran (see: High oil prices likely through 2026 as US-Iran standoff endures , 18 September 2025) or Saudi-Houthi conflicts (see: Likely Saudi-Houthi escalation raises risk of oil disruptions , 27 September 2026). That implies persistent risks to oil supply, which will keep prices elevated for the rest of the year.

China unlikely to significantly increase oil imports or release more refined products. Beijing will prioritize domestic consumption and has restricted refined product exports through October amid concerns about another escalation in the Middle East.

While China's crude oil imports may increase somewhat (e.g. via the purchase of discounted Russian crude or an uptick of purchases from the Middle East), Beijing retains a large crude stockpile (probably still above 1 billion barrels) it can rely on more effectively than expensive shipments from the Middle East.

Henning Gloystein

Managing Director, Energy & Resources

+44 (0)73 898 444 98

gloystein@eurasiagroup.net

Gregory Brew

Senior Analyst, Iran & Energy

+1 646 259 3207

brew@eurasiagroup.net

EG Energy, Climate & Resources

ecr@eurasiagroup.net

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